Expense Category Analytical Procedures

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2025 (January 1 – December 31, 2025)
Source Document	Trial Balance — FY2025
Source File	meridian_tb_fy2025.csv
Source Context	Exported from Meridian ERP (QuickBooks Enterprise) on Jan 15, 2026
Reference	ECA-2026-1023-203
Generated	23rd October 2026
Engagement Practitioner	—
Engagement Reviewer	—
Report Status	Draft

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Expense Category Analytical Procedures

Meridian Capital Group, LLC

23rd October 2026 • ECA-2026-1023-203

I. Scope

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Period Tested ... FY 2025 (January 1 – December 31, 2025)
Source ... Trial Balance — FY2025 (meridian_tb_fy2025.csv)
Expense Categories ........................ 5 active
Total Expenses ......................... $5,827,750.00
Total Revenue .......................... $6,850,000.00
Materiality Threshold ..................... $50,000.00
Prior Period Data ......................... Included
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The automated expense category analytical procedures documented in this workpaper were performed on the expense account detail provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

II. Category Breakdown

Category	Current Amount	% of Rev	Prior Amount	$ Change	% Change	Exceeds Mat.
Cost of Goods Sold	$2,890,000.00	42.19%	$2,400,000.00	$490,000.00	■ 20.4% ↑	■ Yes
Payroll & Benefits	$1,420,000.00	20.73%	$1,180,000.00	$240,000.00	■ 20.3% ↑	■ Yes
Depreciation & Amortization	$285,000.00	4.16%	$260,000.00	$25,000.00	9.6% ↑	No
Interest & Tax	$437,750.00	6.39%	$398,000.00	$39,750.00	10.0% ↑	No
Other Operating Expenses	$795,000.00	11.61%	$642,000.00	$153,000.00	■ 23.8% ↑	■ Yes
TOTAL	$5,827,750.00	85.08%				

Prior period amounts sourced from management-provided comparative data. Auditor should verify prior period figures against prior year audit documentation.

III. Period-Over-Period Comparison

The following analysis presents period-over-period variances for each expense category, with risk-level assessments based on the magnitude of change and materiality threshold of $50,000.00. Categories with moderate or high risk designations require management explanation.

III-A. Variance Summary

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Category	$ Change	% Change	Direction	Risk Level	Explanation Req.
Cost of Goods Sold	$490,000.00	20.4% ↑	Increase	HIGH	Yes
Payroll & Benefits	$240,000.00	20.3% ↑	Increase	HIGH	Yes
Depreciation & Amortization	$25,000.00	9.6% ↑	Increase	LOW	No
Interest & Tax	$39,750.00	10.0% ↑	Increase	LOW	No
Other Operating Expenses	$153,000.00	23.8% ↑	Increase	HIGH	Yes

III-B. Variance Commentary

Cost of Goods Sold: Cost of Goods Sold increased 20.4% period-over-period ($490,000), representing 42.2% of current period revenue. Gross margin implication: verify whether the change reflects volume growth, input cost inflation, or a shift in product/service mix.

Payroll & Benefits: Payroll & Benefits increased 20.3% period-over-period ($240,000), representing 20.7% of current period revenue. Reconcile to headcount changes, wage rate adjustments, and benefits enrollment shifts. Cross-reference with payroll testing results if available.

Other Operating Expenses: Other Operating Expenses increased 23.8% period-over-period ($153,000), representing 11.6% of current period revenue. This category may contain heterogeneous expense types. Request a sub-ledger breakdown to identify the primary drivers.

Decomposition Flag — Other Operating Expenses: This category represents a high-growth, high-value catch-all at 11.6% of revenue with 23.8% year-over-year growth. Auditor should request a detailed sub-ledger breakdown to identify the drivers of the $153,000 increase. Categories to investigate may include: consulting fees, software/subscriptions, travel, legal, or one-time charges.

IV. Expense Ratio Analysis

The following table presents expense-to-revenue ratios for each category, compared against indicative benchmark ranges for professional services and capital management firms. Benchmarks are illustrative and the auditor should apply engagement-specific context.

Metric	Current	Prior	Change	Benchmark Flag
Total Expense Ratio	85.08%	78.71%	+6.37pp	—
COGS Ratio	42.19%	38.71%	+3.48pp	Within Range
Payroll Ratio	20.73%	19.03%	+1.70pp	Within Range
D&A; Ratio	4.16%	4.19%	-0.03pp	Within Range
Interest & Tax Ratio	6.39%	6.42%	-0.03pp	Within Range
Other Operating Ratio	11.61%	10.35%	+1.26pp	Within Range

Benchmark ranges are indicative for professional services / capital management contexts and may not be applicable to all entities. The auditor should apply engagement-specific and industry-specific context when evaluating ratios.

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V. Findings

The following findings were identified from the variance analysis and ratio benchmarking performed in the preceding sections. Each finding requires evaluation by the engagement team.

#	Category	Finding	Risk	Priority
1	Cost of Goods Sold	Cost of Goods Sold changed $490,000 (20.4% ↑) period-over-period	HIGH	HIGH
2	Payroll & Benefits	Payroll & Benefits changed $240,000 (20.3% ↑) period-over-period	HIGH	HIGH
3	Other Operating Expenses	Other Operating Expenses changed $153,000 (23.8% ↑) period-over-period	HIGH	HIGH

VI. Suggested Audit Procedures

The following procedures are suggested based on the findings identified in the preceding analysis. Procedures are prioritized by risk level and reference specific dollar amounts and percentages from the current period data.

Priority	Area	Procedure
HIGH	COGS Variance	COGS changed $490,000 (20.4%) year-over-year. Obtain and inspect vendor invoices supporting material purchases. Recalculate gross margin and compare to management's representations. Consider whether the change is consistent with reported revenue growth.
HIGH	Payroll Variance	Payroll & Benefits changed $240,000 (20.3%). Reconcile to headcount changes, wage rate increases, and benefits enrollment. Cross-reference with Report 05 (Payroll & Employee Testing) findings.
MODERATE	Other Operating Expenses	Other Operating Expenses changed $153,000 (23.8%). Request sub-ledger detail. Scan for non-recurring items, related-party transactions, or expenses that may require separate disclosure.

Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

Authoritative References

Body	Reference	Topic	Status
AICPA	AU-C § 520	Analytical Procedures	Current
PCAOB	AS 2305	Substantive Analytical Procedures	Current
FASB	ASC 220-10	Income Statement — Comprehensive Income	Current
FASB	ASC 720-10	Other Expenses — Overall	Current

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This memo documents automated expense category analytical procedures testing procedures with reference to AU-C § 520 (Analytical Procedures) / AS 2305 (Substantive Analytical Procedures). Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.

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